MINNESOTA FINANCIAL PROFILE

State of the Union Financial Q&A Reference Guide

ECONOMIC METRIC	STATE SCORE / BENCHMARK	NATIONAL BASELINE REFERENCE
Composite Cost of Living Index	97.4	100.0
Housing Cost Metric	91.5	100.0

Core Financial Jurisdictional Q&A

Q1: What are the individual income tax brackets in Minnesota?

Minnesota applies a highly progressive four-bracket individual income tax structure, with rates climbing from 5.35% to a top marginal bracket of 9.85%, one of the highest in the country.

Q2: Does Minnesota tax capital gains as ordinary income?

Yes, Minnesota taxes net long-term and short-term capital gains as ordinary income, matching the state's progressive individual income tax rates up to 9.85%.

Q3: How does the state sales tax handle clothing and groceries?

The baseline state sales tax rate is 6.875%, and local jurisdictions can add additional local options. However, Minnesota fully exempts general clothing items and unprepared groceries from sales tax.

Q4: What is the Minnesota Property Tax Refund program?

Minnesota provides two types of property tax refunds for qualifying residents: the Homestead Credit State Refund for homeowners whose property taxes exceed a set percentage of income, and a dedicated Renter's Refund.

Q5: How does the Minnesota estate tax system operate?

Minnesota imposes an estate tax on estates exceeding a structural exclusion threshold of $3 million, with progressive tax rates ranging from 13% to 16%.